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RAMIREZ, ET AL. v. AMERICAN HONDA MOTOR CO., INC.

CASE NO.: 26NWCV01086

HEARING: 09/08/2026 @ 9:30 AM

#10

TENTATIVE ORDER

Defendant American Honda Motor Co., Inc.'s petition to compel arbitration is GRANTED. This action is STAYED pending the outcome of arbitration.

Moving party to give notice.

Defendant American Honda Motor Co., Inc. (Defendant) petitions to compel Plaintiffs Carlos A. Lucas Ramirez and Sixto C. Garcia Gomez (Plaintiffs) to submit their claims to binding arbitration.

Background

On March 25, 2026, Plaintiffs filed this lemon law action against Defendant and Does 1 through 10. The complaint alleges that Plaintiffs experienced defects and nonconformities to warranty with their leased 2026 Honda CR-V. (Complaint, ¶¶ 8-10.) The complaint asserts three causes of action: (1) violation of Song-Beverly Act – breach of express warranty; (2) violation of Song-Beverly Act – breach of implied warranty; (3) violation of Song Beverly Act, section 1793.2.

Legal Standard

Under both the Federal Arbitration Act (FAA) and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc., § 1281.2.) This is usually done by presenting a copy of

the signed, written agreement to the court. “A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state...the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Cal. Rules of Court, rule 3.1330.) The moving party must also establish the other party’s refusal to arbitrate the controversy. (Code Civ. Proc., § 1281.2.) “Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.) A petition to compel arbitration is a suit in equity to compel specific performance of a contract. (Frog Creek Partners, LLC v. Vance Brown, Inc. (2012) 206 Cal.App.4th 515, 532.)

Under the FAA, general contract defenses, such as fraud, duress, or unconscionability, may provide grounds for invalidating an arbitration agreement if they are enforced evenhandedly and do not interfere with fundamental attributes of arbitration. (9 U.S.C.A. § 1 et seq.) To invalidate an arbitration provision, a plaintiff must show that it is both procedurally and substantively unconscionable. (Marin Storage & Trucking, Inc. v. Benco Contracting & Eng’g, Inc. (2001) 89 Cal. App. 4th 1042, 1053; Chemours Co. v. DowDuPont Inc. (2020) No. CV 2019-0351- SG, 2020 WL 1527783, at *12.) An agreement to arbitrate is unenforceable only if both the procedural and substantive elements are satisfied. (Stirlen v. Supercuts, Inc. (1997) 51 Cal.App.4th 1519, 1533.) However, Armendariz held, “[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz v. Foundation Health Psychare Services, Inc. 24 Cal.4th 83, 114).” “A court should consider substantive unconscionability only after procedural unconscionability has been established.” (Ramirez v. Charter Communications, Inc. (2024) 16 Cal.5th 478, 494.)

Evidentiary Objections

Plaintiffs make two evidentiary objections to the declaration of Charles G. Bakaly. Plaintiffs’ evidentiary objections are **OVERRULED**. The Court further explains its ruling on the evidentiary objections below.

Discussion

Defendant petitions to compel Plaintiffs to submit their claims to binding arbitration.

Defendant first notes that it made a demand for arbitration to the AAA on April 23, 2026 and that the arbitration is pending. (Bakaly Decl., ¶¶ 5-8.) Defendant shows that the arbitrator continued the AAA Preliminary Hearing pending the outcome of this Petition. (Bakaly Decl., ¶¶ 11-12.)

Defendant moves to compel arbitration pursuant to an arbitration agreement (Arbitration Agreement) contained in its standard limited warranty (Warranty Contract). The limited warranty contains the following Arbitration Agreement:

Agreement to Arbitrate

Please carefully read this provision, which applies to any dispute between you and American Honda Motor Co., Inc. and its parent entities, subsidiaries, affiliates, agents, authorized service and repair facilities, employees, predecessors in interest, successors, and assigns (together “Honda,” “we,” or “us”). You and we agree that any dispute arising out of or relating to any aspect of the relationship between you and Honda will not be decided by a judge or jury but instead by a single arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules in effect on the date of delivery of your vehicle to you. This Agreement to Arbitrate includes all claims, whether based in contract, tort, statute, fraud,

misrepresentation, or any other legal theory; claims arising out of your warranty; claims arising before or after this Agreement, such as claims related to statements about our products; claims about the performance, design of our products, or manufacturing of our products; and claims that are currently the subject of purported class action litigation in which you are not a member of a certified class.

[...]

You may opt out of arbitration within 30 days after the date of delivery of your vehicle to you by sending a letter to: Honda's Office of the General Counsel, 1919 Torrance Blvd., Mail Stop CHI-5, Torrance, CA 90501, stating your name, Vehicle Identification Number, and intent to opt out of the arbitration provision. If you do not opt out, then this agreement to arbitrate is binding.

(Bakaly Decl., Exh. A.) Defendant shows that when Plaintiffs leased the Subject Vehicle from Ocean Honda of Whittier, they signed a "LEASE AGREEMENT (WITH ARBITRATION PROVISION)" (Lease Agreement). (Bakaly Decl., Exh. B.) The Lease Agreement provides "16. Warranties. The Vehicle is subject to the manufacturer's standard warranty, unless this box is checked." (Bakaly Decl., Exh. B.) The box was not checked. (Bakaly Decl., Exh. B.) Defendant contends that Plaintiffs' expressly and impliedly agreed to binding arbitration and otherwise are equitably estopped from denying the validity of this arbitration agreement. Defendant shows that Plaintiffs are relying on the Warranty Contract in the complaint. The complaint alleges "[t]hese causes of action arise out of warranty and repair obligations of [Defendant] in connection with a vehicle Plaintiffs leased and for which [Defendant] issued an express warranty. The warranty was not issued by the leasing dealership." (Complaint, ¶ 4.) Additionally, "[i]n connection with the sale, Plaintiff received various warranties." (Complaint, ¶ 9.)

Plaintiffs argue that Defendant's reliance on the Warranty Contract is procedurally defective because it is not authenticated. Plaintiffs argue that the Warranty Contract is not properly authenticated because it was produced by Defendant's counsel. Here, Plaintiff's evidentiary objection based on Defendant's counsel is overruled because the Court's first step is only to determine "that a written agreement to arbitrate a controversy exists." (Code Civ. Proc., § 1281.2.) "A plain reading of [§ 1281.2] indicates that as a preliminary matter the court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity." (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219.)

Plaintiffs additionally raise *Gamboa v. Northeast Comm. Clinic* (2021) 72 Cal.App.5th 158, 165-66 to argue the burden shifts back to Defendant to prove existence of an arbitration agreement with admissible evidence. Plaintiffs provide a declaration stating that "[t]o the best of my memory, I was never personally provided with a copy of any warranty manual when I leased the Subject Vehicle. Additionally, I was never given notice by either Ocean Honda of Whittier or Defendant that a subsequent enforceable Arbitration Provision existed inside the Warranty manual. Nor was I ever given notice by either Ocean Honda of Whittier or Defendant that I was required to opt out of this post-lease. (Ramirez Decl., ¶ 5; Gomez Decl., ¶ 5.) Plaintiff attests that he never signed it because it does not require consent or provide a signature line. (Ramirez Decl., ¶ 6.)

Plaintiffs further argue that there is no mutual assent. Plaintiffs refer to their declarations in which they state Ocean Honda of Whittier never showed them a copy of the Warranty Contract or informed them that their claims would be subject to a binding arbitration agreement. (Ramirez Decl., ¶ 4; Gomez Decl., ¶ 4.) Plaintiffs argue that the complaint's general allegation of warranty coverage does not admit that they received this particular booklet, saw its arbitration provision, or agreed to be bound, because receipt of warranty protection is not assent to a separate agreement to arbitrate. (*Knutson v. Sirius XM Radio, Inc.* (9th Cir. 2014) 771 F.3d 559, 565; *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279, 1284-1286.)

In reply, Defendant refers to *Kostandian v. American Honda Motor Co., Inc.* (2026) 120 Cal.App.5th 872, 884, in which a plaintiff similarly argued that there was no mutual assent because he did not receive a warranty contract until after the sale and a Court of Appeal noted that "no evidence was presented supporting this assertion." Likewise, here, Plaintiffs do not present evidence disputing the existence of this Warranty Contract, only that Ocean Honda of Whittier never showed them a copy during pre-lease negotiations. The *Kostandian* court also rejected arguments relying on *Knutson* and *Norcia*. Besides being nonbinding on this Court, *Norcia* is inapposite as it does not involve a warranty dispute and *Knutson* is distinguishable because the plaintiff produced evidence that it did not receive the respective arbitration agreement until a month after the

service began. (See Kostandian, supra, 120 Cal.App.5th at p. 884.) Hernandez v. LG Electronics U.S.A., Inc. (C.D. Cal., Mar. 28, 2024, No. 222CV08813SVWJEM) 2024 WL 1601260, while involving a warranty claim, is non-binding, as it is an unpublished federal opinion. (See Gong v. City of Rosemead (2014) 226 Cal.App.4th 363, 375 [“While unpublished federal district court opinions are citable, they do not constitute binding authority.”].)

Lastly, the Court agrees that Plaintiffs’ reliance on Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1126 does not defeat Defendant’s equitable estoppel argument. Ford Motor Warranty Cases concerned nonsignatory manufacturers seeking to enforce arbitration provisions in separate dealer sales contracts, whereas Defendant seeks to enforce the Arbitration Agreement in its own Warranty Contract. (Id., at p. 1133.) The doctrine of equitable estoppel applies if (1) the plaintiff relies upon the contract’s terms in asserting claims against the non-signatory defendant, or those claims are “intimately founded in or intertwined with” the contract itself, or (2) if the plaintiff alleges “substantially interdependent and concerted misconduct” by the defendant, where such allegations of misconduct are “founded in or intimately connected with” the obligations of the contract. (Goldman v. KPMG LLP (2009) 173 Cal.App.4th 209, 221; Metalclad Corp. v. Ventana Environmental Organizational Partnership (2003) 109 Cal.App.4th 1705, 1713-1714 (citations omitted) [the doctrine of equitable estoppel is meant to “prevent a party from playing fast and loose with its commitment to arbitrate, honoring it when advantageous and circumventing it to gain undue advantage”].)

Here, Defendant establishes the existence of the Arbitration Agreement within the Warranty Contract by attaching a copy and reciting its terms. (Code Civ. Proc., § 1281.2.) Plaintiffs do not provide evidence disputing the existence of this Arbitration Agreement. Moreover, Plaintiffs are estopped from avoiding arbitration where their complaint relies on the existence of the same Warranty Contract. Plaintiffs’ complaint cites to a New Vehicle Limited Warranty, a powertrain warranty, and a battery warranty, all provided for in the Warranty Contract, in pages subsequent to the pages in which the Arbitration Agreement is contained. (Complaint, ¶ 9; Bakaly Decl., Exh. A.)

Accordingly, the Court finds that Defendant establishes the existence of a valid, enforceable arbitration agreement that covers Plaintiffs’ claims and is governed by the FAA.

Petition

Defendant additionally refers the Court to its Petition to Compel Arbitration and Stay Action that it filed on April 27, 2026.

Pursuant to Code of Civil Procedure section 1290: “Any person named as a respondent in a petition may file a response thereto. The allegations of a petition are deemed to be admitted by a respondent duly served therewith unless a response is duly served and filed.” A response is due within 10 days after service of the Petition. (Code Civ. Proc., § 1290.6.) Plaintiffs did not file any responses.

The Petition asserts that Plaintiffs entered into the Warranty Contract and that the Warranty Contract is governed by the FAA as Defendant is engaged in interstate commerce. (Pet., ¶¶ 1-3.) Plaintiffs are bound to the factual allegations of the Petition based on their failure to timely respond. (Code Civ. Proc., § 1290.) Thus, the admitted allegations in the Petition constitute another basis as to which the Court finds an enforceable arbitration agreement.

Unconscionability

Plaintiffs next argue that the arbitration provision in the Warranty Contract is unconscionable.

Procedural Unconscionability

“Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on factors of oppression and surprise. The oppression component arises from an inequality of

bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party.” (Pinnacle Museum Tower Assn. v. Pinnacle Market Dev. (US), LLC (2012) 55 Cal.4th 223, 247.)

Plaintiffs argue that the Arbitration Agreement is a contract of adhesion because it was not disclosed to Plaintiffs and the opt-out option is buried in the Warranty Contract. (See Dougherty v. Roseville Heritage Partners (2020) 47 Cal.App.5th 93, 103.)

Defendant counters by arguing that the opt-out provision shows that this agreement is not a contract of adhesion. Defendant points to Plaintiffs’ citation to Dougherty to emphasize its argument—the arbitration provision in Dougherty was buried 70 pages into a document with no-opt out provision and no notice. Here, the Arbitration Agreement was on page 6 with an opt-out provision. (Bakaly Decl., Exh. A.)

The Court finds that there is a low degree of procedural unconscionability where the arbitration provision was located on page 6 of the Warranty Contract and contained an opt-put provision. Adhesion contracts are subject to scrutiny because they are ‘not the result of freedom or equality of bargaining.’ However, they remain valid and enforceable unless the resisting party can also show that one or more of the contract’s terms is substantively unconscionable or otherwise invalid.” (Ramirez v. Charter Communications, Inc. (2024) 16 Cal.5th 478, 492-93.) The Court therefore will assess whether there is a high degree of substantive unconscionability. (Id. at p. 494.)

Substantive Unconscionability

“Substantive unconscionability pertains to the fairness of an agreement’s actual terms and to assessments of whether they are overly harsh or one-sided. A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience.” (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 85.) “[T]he paramount consideration in assessing [substantive] unconscionability is mutuality.” (Ibid.)

Plaintiffs argue that the arbitration agreement is substantively unconscionable because Plaintiffs will receive limited due process and discovery. Plaintiffs do not point to any terms that are unconscionable or any authority stating that arbitration is not permitted under the Song-Beverly Act. The Court does not find an arbitration provision unconscionable by virtue of compelling an arbitration. A waiver of jury rights and limited discovery are facets of arbitration and do not support a finding of substantive unconscionability within this arbitration provision.

Accordingly, Defendant’s motion to compel arbitration is GRANTED.

Motion to Stay Proceedings

California Code of Civil Procedure section 1281.4 states that the court shall stay the action or proceeding if the court has ordered arbitration. (Code Civ. Proc. § 1281.4.) Accordingly, the Court will STAY proceedings pending arbitration.